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Market Briefs Pro

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Good morning, Pro Briefers!

Cybersecurity has continued to gain relevance and evolve as an industry since we published our last report back in July of 2024.

Many things have changed in the space as a result, including the potential opportunities. That's why this week we want to revisit our previous report on cybersecurity.

What did we get right? What has shifted since then? And most importantly: What are the new opportunities that investors may be able to take advantage of today?

Simply put - we have identified a new Main Street Shift in the cybersecurity industry, which is:

Gaps in jobs and businesses in the cybersecurity industry are creating opportunities for existing cybersecurity businesses to take up more market share, and profit.

Keep reading to discover why this shift may be even more profitable for investors today than it was in 2024.

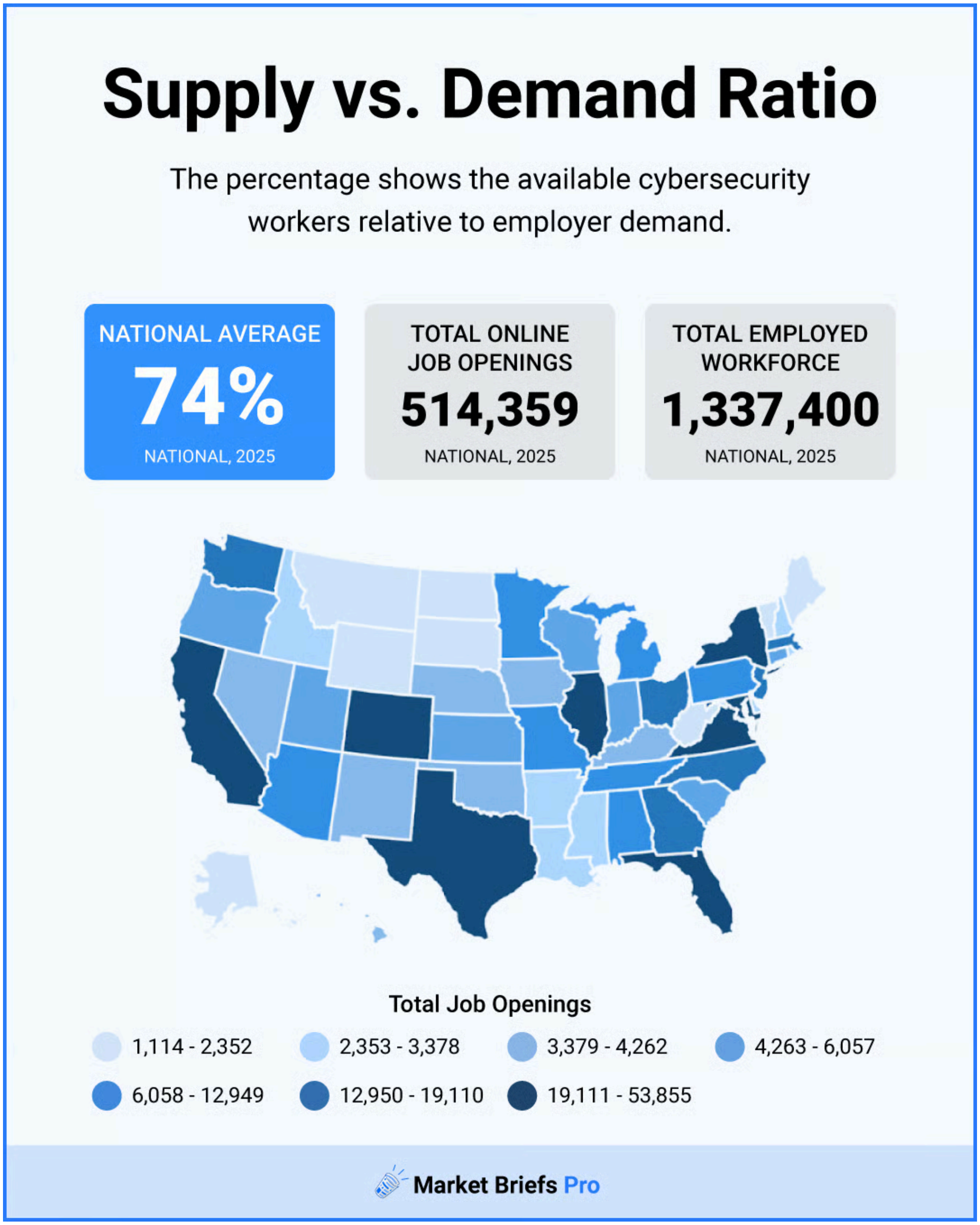
First, from businesses to consumers, our need for cybersecurity is only growing.

Why? *Cybercrime.* Global research company Gartner estimated that 45% of all businesses worldwide will see their supply chains attacked by cyber criminals by the end of 2025.

- The IMF estimates that the annual cost of cybercrime could reach $27 trillion by 2027.

Cybercrime has sped up because of AI, too - Surfshark reported that the number of AI deepfakes increased by 250% from 2024 to 2025.

But here's the real shift (*or lack thereof*): Even with cyber attacks increasing, there's a gap in the industry.



Data via Cyberseek

There are no longer enough cyber professionals to meet demand and experts believe there are not enough businesses to meet demand, either.

- Cybersecurity businesses are turning to AI to fill some of this gap, but experts in the field agree: AI will need to be led by qualified humans in the future.

However, the industry as a whole is growing, with Gartner expecting business spending on cybersecurity to reach a 3-year high in 2025 at $212 billion.

That spending needs to go somewhere though, as consumers and businesses cannot afford to leave their data unprotected in a world of hackers that are getting better.

Our analysts sat down in an exclusive interview with Brandon Rule, a small business owner in upstate New York.

We asked Brandon about what it means to him that small businesses are disproportionately affected by cybercrime, due to their vulnerability.

“I'd certainly put a higher priority on it.” He said.

So, where is it going? Spending is now increasing for the qualified and reputable cybersecurity companies that currently exist and are quickly taking market share.

More market share = more profits for these companies, and more opportunities for investors to benefit by investing into them.

ANALYST REPORT

Tickers we're tracking:

Major players: CRWD, PANW
Gaining ground: ZS, CSCO
Rising up: RBRK

We went deeper into the research - check out more details from this report here.

CROWDSTRIKE

A Look Back at CRWD

One of the opportunities we identified in our last report was CrowdStrike (CRWD).

Data via Yahoo! Finance

CrowdStrike is a cloud-based platform that offers a full suite of cybersecurity tools to its customers like data protection, end-point detection, and cyber threat mitigation.

How is it doing? CrowdStrike is up over 40% YTD, beating the S&P 500, and up over 70% in the last year (our last cybersecurity report was published in July, 2024).

But that growth has come with some setbacks.

Data via Yahoo! Finance

Just after we published the report, a major outage for CrowdStrike led to one of the biggest cybersecurity blackouts in history.

- 8.5 million businesses and consumers were affected.

The company then had to pay $88 million to its customers because of the lapse in service, which put a damper on their public reputation, and stock.

Still - despite the issues, CrowdStrike has shown massive growth since then, being one of the only major providers of cybersecurity in the field.

- CRWD reported a strong Q3, raising its year-end guidance for 2025.

Its systems are essentially completely customizable to businesses, which makes it highly effective in handling the cyber needs of just about any other industry.

Plus, it's innovating - it introduced its own Agentic AI model during the second half of 2025.

That tech, combined with human experts, helps it to better identify and understand threats than its competitors, increasing its competitive advantage.

Its annual report is also considered to be an industry standard by cybersecurity professionals - compiling proprietary data on trends in the cybersecurity industry.

So while its reputation has taken a slight hit due to the blackout, CrowdStrike has come roaring back.

This sets it up for potentially even more growth into 2026, and makes it an opportunity investors will want to keep an eye on.

PALO ALTO

Filling in the Gaps

Our previous report on cybersecurity also successfully identified Palo Alto Networks (PANW) as an opportunity for investors.

Shares of Palo Alto have increased from around $159 when we first published our report, to now over $203.

In addition, Palo Alto has made a few key acquisitions since July 2024, including:

- In September 2024, Palo Alto acquired IMB's QRadar SaaS.
- In July 2025, Palo Alto announced its deal to acquire CyberArk.

That has allowed the company to add on to its already robust tech stack of cybersecurity options.

How? The acquisitions fill much needed gaps for the company.

Palo Alto focuses primarily on network and cloud security, but its purchase of CyberArk gave it a leg up in the data game, too.

Data via Yahoo! Finance

The company now has the ability to encrypt passwords and store data safely on its platform.

That was an area where it previously lagged, but now it's pushing to become a leader.

Its purchase of QRadar SaaS brings everything together.

Protecting data from current threats is one thing, but detection and prevention takes entirely different efforts altogether.

QRadar SaaS is an analytics company and that helps Palo Alto to analyze threats in the hopes of preventing future cyber attacks for its customers.

Its latest fiscal Q4 2025 earnings also beat Wall Street expectations on the top and bottom lines, as it reported $0.95 in adjusted EPS (earnings per share).

- It also had revenue of $2.5 billion, around $500 million higher than its fiscal Q3 revenue.

These acquisitions, along with a strong established presence in the cybersecurity space, sets the company up for potentially more growth in 2026.

And more future growth could make it another opportunity for investors to profit.

ZSCALER

Scaling in Cybersecurity

Zscaler (ZS) has also continued to be an industry leader and has shown growth since we last identified them as an opportunity in cybersecurity.

While AI still needs humans to lead it, Zscaler is pushing the limits of what AI can do to protect its customers' data online.

Data via Yahoo! Finance

Similar to Palo Alto, the company has made some major acquisitions to help position itself strategically in the cybersecurity space.

For instance, Zscaler acquired AI scanning company Avalor over the last year.

AI scanning? This is a type of AI that goes beyond the norm. It actually works to understand data and recognize future patterns.

Zscaler has also acquired AirGap networks - bringing tech and security to the IoT (internet of things).

Home security cameras, printers, thermostats, and more are all highly susceptible to cyber attacks.

And no - criminals don't just hack into your thermostat to change the temperature.

Cyber attackers use these typically defenseless items to gain access to you or a business network, then attack your computer or cell phone.

Data via Yahoo! Finance

Zscaler is emerging as a leader in the IoT defense space, and its acquisition of AirGap helps it take more market share.

These purchases have allowed Zscaler to diversify its offering, but have also made it a bit unclear what its primary offering is.

And expansion this large might make it difficult for it to be a leader in any one of the verticals it's now added, as it allots more resources to different things.

This year though, Zscaler is up 70%, and has seen its shares rise from $194 since we published our initial report on cybersecurity in 2024, to over $300 in 2025.

Still, with its latest acquisitions, Zscaler has positioned itself as a future powerhouse in the cybersecurity space, dominating niches where other companies are lagging behind.

VOLATILITY

Disrupters or Laggers?

Like any industry, there are some disrupters in the space that may one day be able to take on the frontrunners.

Many could one day IPO and present themselves as potential future opportunities for investors.

Two companies have recently gone public in the cybersecurity space - but have proven to be much more volatile than some of the big players in the industry.

For instance, SentinelOne (S) IPO’d in 2021, with its shares reaching a record high of around $76 that same year.

Data via Yahoo! Finance

However, it’s fallen over 60% since then, with shares trading around $17 as of October 2nd, 2025.

What happened? SentinelOne is a mid-cap company, with a market cap of just over $5 billion. This means it has limited liquidity compared to the larger names in this field.

Not to mention, its focus is on growth, but it has not reached profitability yet.

- It reported a -$1.32 in earnings per share on its latest earnings report.

It’s trying to break new ground in autonomous AI threat detection and cybersecurity, but it is losing ground to the top players right now.

Another recent IPO in the cybersecurity space is Rubrik, which went public in 2024.

Rubrik (RBRK) would be considered a large-cap company, with a market cap of around $16 billion.

This is still much smaller than the likes of CrowdStrike and Palo Alto, both of which have market caps exceeding $100 billion.

Despite its size in comparison, Rubrik has managed to carve out a unique moat for itself.

Data via Yahoo! Finance

- Its platform integrates cybersecurity into data storage & recovery protocols (keeping company's back-ups and restorations safe).

Just like SentinelOne, Rubrik has also not yet reached profitability. The company has shown more promising growth than Sentinel though, due to rising subscription revenues.

That has allowed it to power towards profitability, and potentially cement itself as a bigger player in this space in the future.

RETROSPECTIVE

Where We Were Early

Whereas the industry is now focused on AI, expansion of enterprise services, and prevention, our previous report focused on consumer cybersecurity opportunities.

One of those companies was Gen Digital (GEN), which owns Norton, Avast, and LifeLock.

However, Gen Digital has underperformed the S&P 500 over the last year - its shares are only up around 3% since we published our initial report.

Data via Yahoo! Finance

- The S&P 500 is up around 17% during that same time period.

What happened? Cybercrime has increased for everyone, but more so for businesses than consumers.

This means that consumers have not been as directly affected by cybercrime, leading to fewer sales for Gen Digital.

Data via Yahoo! Finance

We also identified Cisco (CSCO) as a long-term loser in this space, but it has actually exceeded our expectations, establishing itself as a big player in cybersecurity.

- The company earned over $5 billion in 2024 from its security segment.

Cisco has kept pace with the S&P 500 so far this year - shares of the company were trading at around $48 in July of 2024.

Data via Yahoo! Finance

- As of October 1st, 2025, shares of Cisco are trading around $68 and the company is up around 76% over the last five years.

Cisco is still growing its cybersecurity business with its brand Duo and recent acquisition of enterprise-level cybersecurity firm Splunk.

Duo is mainly focused on two-factor authentication, which is often the first line of defense for many businesses.

"Our company had been banking with a local savings bank for years, but as they started rolling out online banking and their own app, we were worried about the lack of 2FA in their products." - Brandon Rule.

Brandon went on to add, “we shopped around and found another local bank that did offer those services through their website and app.”

But, Cisco is nowhere near as advanced as the major players in this space, and because the big players are growing faster, its growth may soon level off.

Data via Yahoo! Finance

RISKS

Growing Industry And Growing Threats

Reaction, rather than being proactive, is a big issue in the cybersecurity space.

Many consumers and businesses don’t realize they need protection until they are attacked. By then, it may be too late.

We discovered this first hand in our exclusive interview with Brandon Rule,

"I feel like we aren't a big enough target, and our current information is all locally stored. But on the other hand, that can also make us more vulnerable since we won't have cloud backups available. It is something we are looking into but it is maybe not as high a priority as it perhaps should be."

In addition, cybercrime is increasing and getting much more complex by the day.

This can make it very difficult for even the top names in the industry to predict and prepare for future attacks.

Lastly, we mentioned it at the beginning, but we want to emphasize it here: *There’s a shortage of workers in this industry.*

Costs related to crimes are rising, and while growth is too, the industry just does not have the manpower to handle all of the threats.

REVIEW

Where Cybersecurity May Be Headed Next

The cybersecurity industry is at a pivotal point in its development.

Either the leaders will continue to take up market share for the foreseeable future, or new players will come in to dominate in ways never seen before.

Either way, cybercrime and its costs are increasing.

Keep an eye on the organizations that are filling gaps and identifying pain points in the industry, they will see spending continue as they solve these problems.

Also, mergers and acquisitions are not just common in this industry, but are becoming standard.

That consolidation could lead to even more opportunities and growth for cybersecurity firms and something investors will want to keep in mind for years to come.

- Briefs Pro Team

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